get a lot of corrupt people. It is one where the rules of the game facilitate corruption.

Conversely, when the rules of the game are changed, this will generate changes in the most entrenched mindset, in the most established organizational culture.

The task of public policy research is to identify the formal rules which have incentive implications for the behaviour of officials and politicians. When the rules change, the culture will change.

Politicians and officials respond to incentives. This has a big and optimistic implication. Changes in the rules of the game will generate behavioural changes on politicians and officials also.

The behaviour of politicians and officials is also malleable. The puzzle of policy design is that of finding the checks and balances, and the rules of the game, through which politicians and officials will generate good outcomes for society when they pursue their own self interest.

Example 5: Monetary policy committee

People respond to incentives.
Monetary policy committee members are people.
Therefore monetary policy committee members respond to incentives.

In previous years, monetary policy decisions in India were dominated by the Reserve Bank of India (RBI) governor. When the Ministry of Finance wanted certain things done in monetary policy, they would engage with the governor and a negotiation would take place, outside the public eye. In any such situation, the negotiation may not yield the best outcome.

The solution to this lies in handing over the monetary policy decision to a committee that is called the Monetary Policy Committee (MPC). This is analogous to going from one judge to a bench of judges. Each MPC member is asked to vote and to release a rationale for the vote in public. When individual MPC members make poor decisions, they suffer reputational damage, and thus there are incentives for each MPC member to